

26STCV06070 26STCV06070

County: los-angeles

Division: Civil Law and Motion

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Case Number: 26STCV06070 Hearing Date: September 16, 2026 Dept: 833

Metropolitan Adjustment Bureau Case No. 26STCV06070

Hearing:

September 16, 2026

v. Location:

Stanley Mosk Courthouse

Department:

833 Janna Holdings L.P. c/o San Pasqual Judge: Joseph Lipner

Fiduciary

Trust Company

[Tentative] Order on

Application for Writ of Attachment

INTRODUCTION

Plaintiff Metropolitan Adjustment Bureau ("Plaintiff") moves for a writ of attachment against Defendant Janna Holdings L.P. c/o San Pasqual Fiduciary Trust Company ("Defendant") in the amount of \$900,290.32. The amount includes \$80,000.00 in costs and \$8,500.00 in attorneys fees.

The

Court DENIES the application for writ of attachment.

LEGAL STANDARD

“Upon the filing

of the complaint or at any time thereafter, the plaintiff may apply pursuant to

this article for a right to attach order and a writ of attachment by filing an

application for the order and writ with the court in which the action is brought.” (Code Civ. Pro. § 484.010.) “Except as otherwise provided by statute, an

attachment may be issued only in an action on a claim or claims for money, each

of which is based upon a contract, express or implied, where the total amount

of the claim or claims is a fixed or readily ascertainable amount not less than

five hundred dollars (\$500) exclusive of costs, interest, and attorney's

fees.” (Code Civ. Pro. § 483.010.)

The court shall issue a right to attach order if the court

finds all of the following:

(1) The claim upon which the attachment is based is one upon which an attachment may be issued.

(2) The plaintiff has established the probable validity of the claim upon which the attachment is based.

(3) The attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based.

(4) The amount to be secured by the attachment is greater than zero.

(Code Civ. Pro. §

484.090.)

“A claim has ‘probable

validity’ where it is more likely than not that the plaintiff will obtain a

judgment against the defendant on that claim.” (Code Civ. Pro. § 481.190.) “The application shall be supported by an affidavit

showing that the plaintiff on the facts presented would be entitled to a

judgment on the claim upon which the attachment is based.” (Code Civ.

Pro. § 484.030.) “In contested applications, the

court must consider the relative merits of the positions of the respective

parties and make a determination of the probable outcome of the

litigation.” (Hobbs v. Weiss (1999)

73 Cal.App.4th 76, 80.) “The

Attachment Law statutes are subject to strict construction.” (Epstein v. Abrams (1997) 57 Cal.App.4th 1159, 1168.)

DISCUSSION

A.

Judicial Notice

The Court grants

Defendants’ request for judicial notice.

B.

Probable Validity of Plaintiff’s Claim

The application is based on Plaintiff’s cause of action for breach of contract and quantum meruit.

To establish a

claim for breach of contract, a plaintiff must prove: (1) the existence of a contract; (2) plaintiff’s performance or excuse for nonperformance; (3) defendant’s breach of the contract; and (4) damages incurred by plaintiff as a result of the breach. (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1367.)

To establish a

claim for quantum meruit, a plaintiff must prove: (1) the plaintiff acted pursuant to an explicit or implicit request for the services by the defendant, and (2) the services conferred a benefit on the defendant. (Port Medical Wellness, Inc. v. Connecticut General Life Insurance Company (2018) 24 Cal.App.5th 153, 180.)

Defendant owns

three apartment buildings are 16150, 16162, and 16174 W. Sunset Blvd. in Pacific Palisades, California. (Davis Decl., ¶ 5.) The Buildings were insured against fire by a primary policy with a \$5,000,000 limit and an excess policy with a \$5,147,379 limit, for a total combined policy limit of \$10,147,379. (Davis Decl., ¶ 7.) On January 8, 2025, the Palisades Fire destroyed the three apartment buildings. (Davis Decl., ¶ 5.)

Total Commercial

Real Estate, Inc. (“TCRE”) was the property manager of the Buildings for Defendant.

(See Davis Decl., ¶ 6.) TCRE, on behalf of Defendant, signed a contract with Plaintiff agreeing that Plaintiff would be Defendant's public insurance adjuster with respect to the destroyed buildings. (Davis Decl., ¶ 8.)

The negotiations

relating to the contract included the following. No later than January 9, 2025, TCRE's COO, Santiago Sciupac, discussed with Plaintiff's President the retention of Plaintiff to provide public insurance adjuster services to present and collect on Defendant's claim on its insurance policies on the Buildings. (Sciupac Decl., ¶ 3.) On January 10, 2025, Plaintiff's President emailed TCRE the initial version of its proposed contract with Defendant, which had already been signed and dated by Plaintiff's President. (Sciupac Decl., ¶ 4.)

On January 14, 2025, Plaintiff's President emailed TCRE a revised contract to correct the insurance information. (Sciupac Decl., ¶ 6.) Plaintiff's revision failed to modify any dates in the initial version of Metropolitan's contract, including on the statutorily mandated Notice of Cancellation form, the date of the contract ("1/10/2005") and the midnight deadline for cancellation ("1/13/2025"), both of which already were in the past.

On January 15, 2025, TRE emailed Plaintiff's President a signed version of Plaintiff's revised contract. (Sciupac Decl., ¶ 7.) Plaintiff never provided TCRE or Defendant with a duplicate signed original of the contract. (Sciupac Decl., ¶ 9.)

The Contract

states that "Insured [Janna] agrees to pay and assigns to Metropolitan Adjustment Bureau for services rendered on behalf of the Insured 8% of the amount received from the insurer by the insured for services rendered to the insured by the public insurance adjuster, plus necessary expenses as approved by the insured." (Application, Exh. 1.)

At no point prior

to TCRE executing the Contract on January 15, 2025 did Plaintiff's President or anyone else advise TCRE or anyone else at Defendant that (1) the estimated value of the loss substantially exceeded the aggregate policy limits of the primary and excess policies; and (2) it was likely that Defendant's insurance carriers would declare Defendant's buildings

to be a covered total loss, and Defendant would recover a full policy limits payout from its insurance carriers for the destruction of its buildings. (Davis Decl., ¶ 9.)

Had Defendant been aware of these things, Defendant asserts that it would not have authorized TCRE to sign the contract that included an 8% contingency fee to Plaintiff, or over \$800,000, given the apparent certainty of coverage and loss in excess of policy limits. (Davis Decl., ¶ 10.)

Less than three weeks after the destruction of the Buildings, Defendants' carriers declared them to be a total loss. (Drummy Decl., ¶ 6.) Defendant received payment in full on its policy limits by three checks. (Davis Decl., ¶ 13.)

Plaintiff invoiced Defendant for 8% of all insurance proceeds (\$10,147,379) that Defendant received—for a total fee of \$811,790.32. (Application, Exh. 2.)

On October 7, 2025, Defendant sent Plaintiff a Notice of Cancellation of the Contract pursuant to Insurance Code Section 15027, and noted that the Notice of Cancellation form in the Contract did not comply with the first sentence of Insurance Code section 15027, subd. (f)(1). (Davis Decl., ¶ 15, Exh. E.)

While not mentioned in the notice of cancellation, the contract also arguably violates numerous other provisions of Insurance Code Section 15027.

Insurance Code
Section 15027, subd. (a), (s) and (t) require Plaintiff to provide the insured with a duplicate signed original of the contract. Plaintiff did not do so. (Davis Decl., ¶ 12; Sciupac Decl., ¶ 9.)

Insurance Code
Section 15027, subd. (b)(2) requires that a public insurance adjuster's contract shall include both its "name" and its "business name". Although Plaintiff's contract includes its business name, "Metropolitan Adjustment Bureau", the Contract fails to include Plaintiff's "name", which appears to be either "Metropolitan Adjustment Bureau Corporation" (according to the California Secretary of State)

or “M. Adjustment Bureau Inc.” (according to the Department of Insurance’s Check A License website). (Drummy Decl., Exh. C, E-G.)

Insurance Code

Section 15027, subd. (b)(3) requires that a contract include the name and address of the insured. Nothing in Plaintiff’s contract identifies Defendant’s address. (Application, Exh. 2.)

A failure to

comply with Section 15027 allows the client to cancel the contract. (Insurance Code § 15027, subd. (r).) Since there were deficiencies in the contract, Defendant had every right to cancel the contract, and did so on October 7, 2025.

Insurance

Code § 15027, subd. (n) explains that “[t]he licensee is not entitled to compensation for services performed prior to cancellation, other than for reimbursement of moneys paid by the licensee for out-of-pocket emergency expenses for the client or on behalf of the client.” Plaintiff paid no “out-of-pocket emergency expenses” of Defendant. (Davis Decl., ¶ 14.) Plaintiff did not perform services after Defendant cancelled the contract. (Davis Decl., ¶ 16.) Thus, Plaintiff is barred from recovery in this case.

Plaintiff contends

that the violations of the statute do not matter because Defendant did not attempt to cancel the contract for months, and at this point, Plaintiff has fully performed under the contract and Defendant must not be unjustly enriched.

The Court

disagrees. The operative trigger for a contract to be cancelled under Section 15027, subd. (r) is not the passage of time, but rather the licensee’s compliance status. This means that if a public adjuster presents a contract that is deficient in any respect required by Section 15027, the insured’s cancellation right under subdivision (r) is not extinguished after three days, or after a month, or after any other fixed period. The right continues until the licensee achieves full compliance.

By contrast, other

cancellation and rescission provisions do have specific time frames. For example, Insurance Code § 15027 subd. (f)(1)

states that the client has the right to cancel the contract within three business days of signing and receiving a copy of the signed contract. Insurance Code § 15027, subd. (y) extends the cancellation window to five calendar days when the property loss is included in an area subject to a catastrophic disaster. Had the Legislature wanted to limit subdivision (r) to a specific period of time, they were more than capable of doing so, like they did for other subdivisions in Section 15027.

Plaintiff has not shown the probable validity of its breach of contract claim for one other reason.

Insurance Code § 15027, subd. (x) allows an insured to rescind a contract when a licensee misrepresents or conceals a material fact from the insured prior to the execution of the contract. Insurance Code § 330 and § 331 define concealment as “[n]eglect to communicate that which a party knows, and ought to communicate” and whether intentional, or unintentional, can warrant an insured rescinding insurance. Under Insurance Code § 334, a concealed fact is material based on “the probable and reasonable influence of the facts upon the party to whom the communication due.” (Nieto v. Blue Shield of California Life & Health Ins. Co. (2010) 181 Cal.App.4th 60, 77.)

Defendant has introduced evidence from a public insurance adjuster that a reasonably competent California public insurance adjuster in Plaintiff’s position would have recognized the following before the contract with Defendant was executed:

.
The Buildings were insured against fire by a primary policy with a limit of \$5,000,000 and an excess policy with a limit of \$5,147,379, for a total policy limit of \$10,147,379.

.
The cost to replace the Buildings would be approximately \$16.3 to \$27.3 million.

.
It therefore was highly likely that Janna’s

insurance carriers would declare the Buildings (which has been destroyed by a covered loss—fire) to be a total loss

(Major Decl., ¶ 3.)

A reasonably competent public insurance adjuster would have advised Defendant of its loss. (Major Decl., ¶ 4.) Had Plaintiff advised Defendant of its loss, Defendant would not have authorized TCRE to sign the contract that included an 8% contingency fee to Plaintiff, or over \$800,000, given the apparent certainty of coverage and loss in excess of policy limits. (Davis Decl., ¶ 10.)

At minimum, the asserted concealment of these facts raises factual questions about whether Plaintiff will prevail on the underlying claims at trial.

Finally, Insurance Code § 15028, subd. (d) prevents a public insurance adjuster from offering to pay a fee, commission, or other consideration greater than \$100, to a person for referring a loss.

There was an offer by Plaintiff to pay a referral fee to Defendant's agent, TCRE. (Drummy Decl., ¶ 10, Exh. H [1% to Referral]; Exh. I [Per GN – 1% back to Michael & Santiago]; Exh. J ["Guys please send payment when possible and then we can get your portion sent out"].)

However, nothing in Insurance Code § 15028, subd. (d) renders a contract void, voidable, or unenforceable as a result of noncompliance. The Court therefore rejects Defendant's argument that the contract is void because of Plaintiff's failure to comply with Insurance Code § 15028, subd. (d).

In conclusion, Plaintiff has not shown that it is likely to prevail on a claim for breach of contract.

Plaintiff also argues that it is entitled to recovery in quantum meruit. However,

Plaintiff does not support what the value of its efforts are, assuming that the contract is invalid. Moreover, the gist of Defendant's argument is that it would have received the insurance proceeds in any event so Plaintiff's services were not necessary or helpful. Accordingly, Plaintiff has failed to establish the probable validity of its quantum meruit claims.

C.

Basis for Attachment

"[A]n attachment

may be issued only in an action on a claim or claims for money, each of which is based upon a contract, express or implied, where the total amount of the claim or claims is a fixed or readily ascertainable amount not less than five hundred dollars (\$500) exclusive of costs, interest, and attorney's fees." (Code Civ. Pro. § 483.010(a).) "An attachment may not be issued on a claim which is secured by any interest in real property arising from agreement"

(Code

Civ. Pro. § 483.010(b).)

"[A]n

attachment will lie upon a cause of action for damages for a breach of contract where the damages are readily ascertainable by reference to the contract and the basis of the computation of damages appears to be reasonable and definite."

(CIT Group/Equipment Financing, Inc. v. Super DVD, Inc. (2004) 115

Cal.App. 4th 537, 541.)

Here, Plaintiff's

application for writ of attachment is based on contract claims for which the total amount allegedly due is in excess of \$500. The record before the Court does not indicate that the claim is secured by an interest in real property. The damages are readily ascertainable by reviewing the invoiced amounts.

The parties'

papers brief the effect of the Court's earlier ruling of July 29, 2026 on the outcome of this present application. Plaintiff appears to be correct that there was a miscommunication between counsel and court staff about taking that hearing off calendar. Accordingly, the Court does not give the July 29 order binding effect. Counsel are advised that—as set forth explicitly in the Court's updated courtroom information—that withdrawal of a pending motion or application requires a notice in writing by the moving party.

D.

Purpose and Amount of Attachment

Code of Civil

Procedure section 484.090 states that the Court shall issue a right to attach order if “the attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based . . . [and] the amount to be secured by the attachment is greater than zero.” Plaintiff satisfied these requirements. (See Application ¶ 4.)

E.

Reduction of Amount to be Secured

Code of Civil

Procedure section 483.015, subd. (b) provides that the amount to be secured by the attachment shall be reduced by, inter alia: “(2) The amount of any indebtedness of the plaintiff that the defendant has claimed in a cross-complaint filed in the action if the defendant’s claim is one upon which an attachment could be issued.” Defendant has the initial burden of proof to satisfy the requirements of attachment for any offset claim. (See Code Civ. Pro. § 483.015 and Lydig Construction, Inc. v. Martinez Steel Corp. (2015) 234 Cal.App.4th 937, 945.) Among other requirements, “the contract sued on must furnish a standard by which the amount due may be clearly ascertained and there must exist a basis upon which the damages can be determined by proof.” (See CIT Group/Equipment Financing, Inc., supra, 115 Cal.App.4th at 541.)

Defendant has not requested any offsets.

F.

Exemptions

Defendant

has not claimed any exemptions.

G.

Undertaking

Code of Civil

Procedure section 489.210 requires the plaintiff to file an

undertaking before issuance of a writ of attachment. Code of Civil Procedure section 489.220 provides, with exceptions, for an undertaking in the amount of \$10,000. Because the Court does not grant the writ of attachment, no undertaking is necessary.

H.

Subject Property

Plaintiff requests attachment of any property of Defendant, a corporation.

(Application ¶ 9a.) That request

is proper. “[A]ll corporate property for which a

method of levy is provided by Article 2 (commencing with Section 488.300) of Chapter 8” may be attached. (Code Civ.

Pro. § 487.010, subd. (a).)

I.

Attorneys Fees

Code of Civil Procedure

section 482.110, subd. (b) provides, “[i]n the discretion of the court, the amount to be secured by the attachment may include an estimated amount for costs and allowable attorney’s fees.” The Court, however, does not grant the attachment.

CONCLUSION

The Court DENIES the application for writ of attachment.

IT IS SO ORDERED.

Dated: September
16, 2026

Joseph Lipner

Superior
Court Judge